



TOP 50 MCQs – CLASS 12 ECONOMICS

Complete Revision Guide: Macroeconomics & Indian Economic Development

Unit 1: National Income (1–8)

1. GDP measures:

- A. Welfare of people
- B. Value of final goods and services
- C. Income of government
- D. Imports and exports

2. Which method avoids double counting?

- A. Income method
- B. Expenditure method
- C. Value Added method
- D. Product method

3. National income at factor cost equals:

- A. NNP at factor cost
- B. GDP at market price
- C. GNP at market price
- D. Net exports

4. Real GDP is calculated using:

- A. Current prices
- B. Constant prices
- C. Market prices
- D. Factor prices

5. Which is not a factor income?

- A. Wages
 - B. Rent
 - C. Interest
 - D. Tax
-

6. Circular flow of income shows relationship between:

- A. Government and banks
 - B. Firms and households
 - C. Imports and exports
 - D. Taxes and subsidies
-

7. Transfer payments include:

- A. Wages
 - B. Interest
 - C. Pension
 - D. Rent
-

8. Net exports equals:

- A. Exports – Imports
 - B. Imports – Exports
 - C. Exports + Imports
 - D. GDP – GNP
-

Unit 2: Money and Banking (9–14)

9. Primary function of money is:

- A. Store of value
 - B. Medium of exchange
 - C. Standard of deferred payment
 - D. Transfer of income
-

10. M1 includes:

- A. Currency + Demand deposits
 - B. Fixed deposits
 - C. Savings deposits only
 - D. Government bonds
-

11. Credit creation is done by:

- A. RBI
 - B. Commercial banks
 - C. Government
 - D. Public sector units
-

12. Repo rate is the rate at which:

- A. Banks lend to RBI
 - B. RBI lends to banks
 - C. Banks lend to public
 - D. Government borrows
-

13. When CRR increases:

- A. Lending increases
 - B. Money supply increases
 - C. Lending decreases
 - D. Inflation rises
-

14. Open market operations refer to:

- A. Buying and selling of securities by RBI
 - B. Trade between countries
 - C. Banking transactions
 - D. Foreign exchange control
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Unit 3: Determination of Income & Employment (15–22)

15. Aggregate demand includes:

- A. Consumption
 - B. Investment
 - C. Government expenditure
 - D. All of these
-

16. MPC is always:

- A. Less than 1
 - B. Equal to 2
 - C. Greater than 2
 - D. Negative
-

17. Multiplier formula is:

- A. $1 / \text{MPS}$
 - B. MPC / MPS
 - C. $1 / \text{MPC}$
 - D. $\text{MPC} \times \text{MPS}$
-

18. If $\text{MPC} = 0.8$, multiplier is:

- A. 2
 - B. 3
 - C. 5
 - D. 10
-

19. Equilibrium income occurs when:

- A. $\text{AD} = \text{AS}$
 - B. $\text{AD} > \text{AS}$
 - C. $\text{AS} > \text{AD}$
 - D. Savings > investment
-

20. Paradox of thrift occurs when:

- A. Saving increases national income
 - B. Saving decreases income
 - C. Saving has no effect
 - D. Saving increases inflation
-

21. Deflationary gap occurs when:

- A. $AD > AS$
 - B. $AD < AS$
 - C. $AD = AS$
 - D. Savings = investment
-

22. Full employment means:

- A. Zero unemployment
 - B. Only voluntary unemployment exists
 - C. Everyone works in government
 - D. No labour force
-

Unit 4: Government Budget (23–28)

23. Government budget is:

- A. Annual financial statement
 - B. Five year plan
 - C. Monetary policy
 - D. Banking policy
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24. Revenue receipts include:

- A. Taxes
 - B. Borrowings
 - C. Loans
 - D. Disinvestment
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25. Capital receipts include:

- A. Taxes
 - B. Borrowings
 - C. Fees
 - D. Fines
-

26. Fiscal deficit means:

- A. Total expenditure – total receipts excluding borrowings
 - B. Revenue expenditure – revenue receipts
 - C. Capital receipts – capital expenditure
 - D. Taxes – subsidies
-

27. Revenue deficit occurs when:

- A. Revenue expenditure > revenue receipts
 - B. Revenue receipts > expenditure
 - C. Capital expenditure > revenue
 - D. Borrowings increase
-

28. Government budget helps in:

- A. Redistribution of income
 - B. Economic stability
 - C. Resource allocation
 - D. All of these
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Unit 5: Balance of Payments (29–32)

29. Balance of payments records:

- A. Domestic transactions
 - B. International transactions
 - C. Government spending
 - D. Bank loans
-

30. Current account includes:

- A. Trade in goods
 - B. Trade in services
 - C. Income from abroad
 - D. All of these
-

31. Capital account includes:

- A. Foreign investment
 - B. Exports
 - C. Imports
 - D. Tourism
-

32. Currency depreciation leads to:

- A. Cheaper exports
 - B. Costlier exports
 - C. Lower imports
 - D. Both A and C
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Unit 6: Development Experience & Reforms (33–38)

33. At independence, India's economy was:

- A. Industrialised
 - B. Developed
 - C. Underdeveloped
 - D. Modern
-

34. Planning in India started in:

- A. 1947
 - B. 1950
 - C. 1951
 - D. 1960
-

35. Green Revolution increased:

- A. Industrial output
 - B. Agricultural production
 - C. Population
 - D. Imports
-

36. LPG reforms were introduced in:

- A. 1985
 - B. 1991
 - C. 2000
 - D. 2010
-

37. Liberalisation means:

- A. Removing restrictions on industries
 - B. Increasing taxes
 - C. Government control
 - D. Reducing exports
-

38. GST stands for:

- A. General Sales Tax
 - B. Goods and Services Tax
 - C. Global Sales Tax
 - D. Government Sales Tax
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Unit 7: Current Challenges (39–46)

39. Human capital formation refers to:

- A. Education and health development
 - B. Industrial growth
 - C. Infrastructure development
 - D. Trade expansion
-

40. Rural development focuses on:

- A. Village infrastructure
 - B. Agriculture
 - C. Employment
 - D. All of these
-

41. Disguised unemployment is common in:

- A. Agriculture
 - B. Industry
 - C. Services
 - D. IT sector
-

42. Sustainable development means:

- A. Rapid growth
 - B. Development without harming future generations
 - C. Industrialisation
 - D. Urbanisation
-

43. Infrastructure includes:

- A. Roads
 - B. Electricity
 - C. Communication
 - D. All of these
-

44. Microfinance is mainly provided through:

- A. RBI
 - B. Self Help Groups
 - C. IMF
 - D. WTO
-

45. Employment generation programmes include:

- A. MGNREGA
 - B. LPG reforms
 - C. GST
 - D. Demonetisation
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46. Health contributes to:

- A. Human capital
 - B. Inflation
 - C. Fiscal deficit
 - D. Trade
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Unit 8: India and Neighbours (47–50)

47. China's rapid growth is mainly due to:

- A. Industrialisation
 - B. Agriculture
 - C. Tourism
 - D. Mining
-

48. India's population policy focuses on:

- A. Birth control
 - B. Education
 - C. Health
 - D. All of these
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49. Human Development Index measures:

- A. Income
 - B. Education
 - C. Life expectancy
 - D. All of these
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50. Compared to Pakistan, India has higher:

- A. Industrial growth
- B. Literacy rate
- C. Life expectancy
- D. All of these



ANSWER KEY

1. B	2. C	3. A	4. B	5. D
6. B	7. C	8. A	9. B	10. A
11. B	12. B	13. C	14. A	15. D
16. A	17. A	18. C	19. A	20. B
21. B	22. B	23. A	24. A	25. B
26. A	27. A	28. D	29. B	30. D
31. A	32. D	33. C	34. C	35. B
36. B	37. A	38. B	39. A	40. D
41. A	42. B	43. D	44. B	45. A
46. A	47. A	48. D	49. D	50. D

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